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Case Number: 24STCV21901 Hearing Date: September 24, 2026 Dept: 515

Plaintiff Sidhal Equity, LLC's Motion to Compel Compliance
with Deposition Subpoena for Production of Business Records by Non-Party
Lalezary, LLC, and for Contempt and Monetary Sanctions

Plaintiff Sidhal Equity, LLC ("Plaintiff") brings this
action against Woodland Equity, LLC ("Woodland"), Woodland Hills Capital, LLC,
Sunrise Real Estate Group, LLC ("Sunrise"), Bruce Abrams ("B. Abrams"), Daniel
Abrams ("D. Abrams"), and SRG Properties, LLC, alleging that Defendants refinanced
a commercial property located at 20501 Ventura Boulevard in Woodland Hills (the
"Property") that the parties own as tenants in common, concealed information
about the refinance, and diverted the loan proceeds for their own use.

Plaintiff served a subpoena for business records ("Subpoena")
on non-party Lalezary, LLC ("Lalezary") in or around February 2026. Plaintiff
brings this motion to compel compliance with the Subpoena and for contempt and
monetary sanctions. Lalezary opposes the motion.

Legal Standard

A document subpoena directed to a custodian of records ("COR")
requires the COR to send the documents to the deposition officer along with an affidavit
that complies with Evidence Code Section 1561. (CCP §§ 2020.430, 2020.030 (providing
that Section 1561 applies to deposition subpoenas.))

Evidence Code Section 1561 provides that the COR affidavit must
state each of the following:

(1)

That the affiant is the COR and has authority to certify the records;

(2)

The copy is a true copy of all the records described in the subpoena;

(3)

The records were prepared in the ordinary course of business;

(4)

The identity of the records; and

(5)

A description of the mode of preparing the records.

Section 1561 goes on to provide that a COR shall state in the affidavit if the business has none or only part of the records sought in the subpoena.

A propounding party may seek to enforce a subpoena for documents by way of a motion to compel compliance under Code of Civil Procedure Section 1987.1 and/or Section 2025.480(a).

Analysis

The Subpoena contains 23 document requests. (Mot., Ex. A.) The requests seek documents related to the purchase of property located at 8364-8370 Wilshire Boulevard in Beverly Hills (the “Wilshire Property”). The Subpoena ordered the Custodian of Records (“COR”) for Lalezary to produce the documents to Titan Legal Services, Inc., the deposition officer. (Id.)

Defendants Woodland, Sunrise, B. Abrams, and D. Abrams filed a motion to quash the Subpoena. On April 14, 2026, the Court denied the motion to quash. Lalezary did not file any motion to quash or modify the Subpoena, nor did it serve any objections to the document requests in the Subpoena.

On May 15, 2026, Lalezary produced 45 pages of documents. (N. Zakariaie Decl., ¶ 8, Ex. D.) The deposition officer provided Lalezary with the

COR affidavit form. As of the date Plaintiff filed this motion, Lalezary had not sent the required COR affidavit back to the deposition officer. On July 15, 2026, after the filing of the motion, Lalezary's counsel sent the affidavit. (Ecoff Decl., Ex. B.)

The affidavit is signed by Shawn Lalezary and states that the records are true copies of all records described in the Subpoena that are in the COR's custody and control. The affidavit states that the records were prepared by a "reasonable search in email." Lalezary also produced a separate declaration from Shawn Lalezary in which he states that it was his custom and practice to maintain all documents for the purchase of the Wilshire Property in his email and that neither he nor Lalezary maintained a paper file for the transaction. (Id., ¶¶ 4-5.) Lalezary states that he searched his email and his computer hard drive for responsive documents. (Id.) He also states he searched for "all documents" including "bank statements, escrow records, wire confirmation records," though presumably he only searched his hard drive and emails for such records because he states those are the only places he looked for documents.

These two declarations, taken together, do not adequately address the requirements in the COR affidavit. As Plaintiff points out, the documents produced establish that other responsive financial records exist, such as bank statements. Also, the Subpoena seeks, inter alia, documents relating to Lalezary's reimbursement of the \$500,000 deposit for the Wilshire Property (No. 5), documents reflecting compensation provided by Lalezary to D. or B. Abrams or SRG (Nos. 11, 15, 16), and any documents regarding financial benefits arising from the assignment to Lalezary of the right to buy the Wilshire Property (No. 13). These requests also call for various financial documents such as bank statements. Lalezary is required to produce all responsive documents in its possession, custody, or control. Merely looking in the COR's email folder or computer hard drive does not pass muster. As required by Evidence Code Section 1561, Lalezary's COR must explain how he obtained the responsive documents. As it stands now, the COR affidavit is woefully inadequate because it says, on the one hand, that Lalezary has produced all records in Lalezary's custody or control, and on the other hand, admits that the only place searched was one person's email. Lalezary's COR needs to list all the places searched to obtain the requested documents, and, if it cannot fully comply with the Subpoena, the affidavit must state as much.

The motion is granted, therefore, as follows:

Lalezary shall serve a supplemental, complete COR affidavit
(and any supplemental document production) within 14 days of this order.

Given that Lalezary did produce a COR affidavit, even though
it was late and not compliant with Evidence Code Section 1561, the Court denies
Plaintiff's request for a contempt order. The Court does award monetary
sanctions against Lalezary. Lalezary failed to provide any COR affidavit until
after Plaintiff filed the motion, even though the record shows that Plaintiff's
counsel sought the COR affidavit on many occasions leading up to the filing of
the motion. Moreover, the COR affidavit that Lalezary finally did provide is
not adequate. Lalezary therefore has no one to blame but itself for the fees
and costs Plaintiff incurred in filing this motion. Thus, the Court orders reasonable
discovery sanctions of \$3,000 against Lalezary and its counsel, jointly and
severally. The sanctions are due to Plaintiff's counsel within 14 days of this
order.